



2009 Annual Tariff Report

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1. CURRENT TARIFFS

This document provides information for distribution customers on current and closed tariffs, annual adjustment variables and recent updates of information provided in the Tariff Strategy Report.

1.1 Regulatory Arrangements

Use of Powercor Australia's distribution systems and a number of other excluded services are regulated by the Essential Services Commission (ESC). Distribution tariffs must satisfy the constraints set out in the *Electricity Distribution Price Review 2006-10 Final Decision Volume 2 Price Determination* ("*Determination*").

1.1.1 Distribution Tariffs

Distribution tariffs must conform to price controls and rebalancing controls set out in the *Determination*. The *Determination* provides a price control formula that specifies a maximum percentage change to annual tariffs. The maximum limit is based on four controls:

- *X-factor*: X-factor accounts for the expectation that distributors will achieve year-on-year efficiency gains and that these gains will be passed on to consumers. For 2009, the *Determination* requires Powercor to deliver an average real decrease in distribution tariffs of 2.5 percent.
- *S-factor*: S-factor provides an incentive for distributors to meet service obligations. Tariffs may be adjusted where service targets are exceeded and customers are compensated through reduced tariffs if service provision is not to the required standards.
- *L-factor*: L-factor ensures tariffs accurately reflect licence fees. Distributors must pay a licence fee, which is recovered through distribution tariffs.
- *CPI*: tariffs are indexed to account for inflation.

The price control formula constrains aggregate tariff revenue increases to the movement of these four factors. In addition, the *Determination* specifies a rebalancing control that prohibits individual tariff increases of more than CPI + 2 per cent (adjusted for S-Factor and L-Factor).

1.1.2 Transmission Tariffs

Transmission use of system charges are levied on Powercor Australia by Vencorp and SP Ausnet. Powercor Australia recovers these costs through transmission tariffs regulated by the ESC. Transmission tariffs must satisfy the constraints set out in the *Determination*. Increases to individual transmission tariffs have an upper limit of the real average increase in transmission costs plus 2 per cent. The average increase in transmission costs is capped at 18 per cent per year.

1.1.3 Excluded Services and Prescribed Metering

Since 1 January 2006, Powercor Australia has been exclusively responsible for providing metering services to distribution customers with annual consumption less than 160 MWh/pa who do not have a remotely read interval meter. Metering services include meter provision and meter data services. These services are regulated as a prescribed service. This approach is similar to the tariff basket approach to distribution and transmission tariffs for calendar years 2006-10.

Prescribed metering services must satisfy constraints set out in the *Determination*. For the period 2006-10, prescribed metering service tariffs increase 20% per annum in real terms. Individual prescribed metering provision and meter data services tariffs for 2007-10 are also constrained as provided in section 4.6.6 of the *Determination*.

1.2 Tariffs.

The following distribution, transmission and prescribed metering tariffs are available to Powercor customers:

1.2.1 Distribution Tariffs

Powercor Australia's 2009 distribution tariffs are shown in the tariff schedule.

1.2.2 Transmission Tariffs

Powercor Australia's 2009 transmission tariffs are shown in the tariff schedule.

1.2.3 Network Tariffs

Powercor Australia's 2009 network tariffs are shown in the tariff schedule.

1.2.4 Prescribed Metering Tariffs

Powercor Australia's 2009 prescribed metering provision and prescribed meter data service tariffs are shown in the tariff schedule.

1.2.5 Eligibility of Each Tariff

Powercor Australia takes into account the customer's load and connection characteristics to determine which distribution tariff will be assigned to a distribution customer. Criteria for assigning tariffs include: whether the customer is residential or non-residential, whether the customer has an interval or accumulation meter, coincident demand requirements and whether the customer requires a high or low voltage supply.

Table 1 outlines Powercor Australia's network tariffs and defines connection characteristics for each tariff.

Table 1: Eligibility of Network Tariffs

Tariffs Available to New and Existing Customers in 2009

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
RESIDENTIAL CUSTOMERS							
D1	Residential Single Rate	<1,000	<120	7 days, 24 hrs	N/A	– 1-phase non-interval metered residential customers Note: tariff only open to new customers if a suitable interval meter is not installed	None
D2.DK	Docklands Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	– 1-phase residential customers with a controlled load connected to nominated feeders supplying the Docklands area. – Residential customers without a controlled load connected to nominated feeders supplying the Docklands area	1-phase electric hot water service with a total load of <30Amps. <u>Switching Times:</u> Mon-Sun 2300-0700
D3	Residential Interval	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	– Interval metered residential customers	None
D3.CS	ClimateSaver Interval	<1,000	<120	01 Nov – 31 Mar	01 Apr – 31 Oct	– Interval metered residential customers on D3 tariff with dedicated circuit connected to a reverse-cycle air-conditioning load Notes: Dedicated circuit must include a primary reverse-cycle air-conditioner (RCAC) load with the following specification: - must be split system and have a minimum output capacity of 4.0kW on the heating cycle - must have a minimum 3 star rating according to the Australian Energy labelling program OR - Ducted system or inverter technology system, regardless of star rating or whether they are a split system Provided primary RCAC meets requirements, any additional hard-wired RCAC or hard-wired electric heater may be connected to the dedicated circuit	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
D3.HW	Hot Water Interval	<1,000	<120	N/A	7 days	Interval metered 1-phase residential customers on D3 tariff with dedicated circuit connected to a controlled load	1-phase electric hot water service with a total load of <30Amps. <u>Switching Times:</u> Any 7-day switching configuration (at Powercor's discretion) providing a total of up to 8 hours supply daily between 2100-0700 only.
NON-RESIDENTIAL CUSTOMERS							
ND1	Non-Residential Single Rate	<1,000	<120	7 days, 24 hrs	N/A	1-phase non-interval metered non-residential customers 1-phase, non-interval metered, builder's temporary supplies Note: tariff only open to new customers if a suitable interval meter is not available	None
ND5	Non-Residential Interval	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Interval metered non-residential customers - Interval metered builder's temporary supply	None
D2.DK	Docklands Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Non-residential customers connected to nominated feeders supplying the Docklands area	None
PL2	Unmetered Supplies	<1,000	N/A	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Customers with an approved unmetered load Note: New customer connections are required to install a load-limiting device	None
LARGE LOW VOLTAGE CONTRACT DEMAND CUSTOMERS							
DL	Large Low Voltage Demand	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers	None
DL.A	Large Low Voltage Demand A	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders	None
DL.C	Large Low Voltage Demand C	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders	None
DL.DK	Large Low Voltage Demand Docklands	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers connected to nominated feeders in Docklands area	None
DL.CXX	Large Low Voltage Demand CXX	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	Large Customers with demands up to 250kW	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
DL.CXXR	Large Low Voltage Demand Embedded Network Residential	<1,000	≥120	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Large customers with demand up to 250kW either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DL.CXXNR	Large Low Voltage Demand Embedded Network Non-Residential	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers with demands up to 250kW either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
DL.R	Large Low Voltage Demand Embedded Network Residential	<1,000	≥250	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Large customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DL.NR	Large Low Voltage Demand Embedded Network Non-Residential	<1,000	≥250	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
HIGH VOLTAGE CONTRACT DEMAND CUSTOMERS							
DH	High Voltage Demand	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers	None
DH.A	High Voltage Demand A	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders	None
DH.C	High Voltage Demand C	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders	None
DH.D1	High Voltage Demand D1	≥1,000 and ≤22,000	≥20,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with dual parallel dedicated 22kV jumbo feeders connected to Brooklyn zone substation (BLT)	None
DH.D2	High Voltage Demand D2	≥1,000 and ≤22,000	≥8,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a high load factor (>80%) connected to 11kV high voltage feeders with interruptible supply from Laverton North (LVN) zone substation	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (kW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
DH.D3	High Voltage Demand D3	≥1,000 and ≤22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a dedicated feeder of length less than 50m.	None
DH.D4	High Voltage Demand D4	≥1,000 and ≤22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with 2 shared overhead feeders of less than 1km from the Powercor Supply point	None
DH.D5	High Voltage Demand D5	≥1,000 and ≤22,000	≥12,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers with a single dedicated underground feeder and a single shared overhead feeders and less than 1km from Powercor Australia supply point	None
DH.DK	High Voltage Demand Docklands	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers connected to nominated feeders in the Docklands Area	None
DH.R	High Voltage Demand Embedded Network Residential	≥1,000 and ≤22,000	≥1,000	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- High voltage customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly residential	None
DH.NR	High Voltage Demand Embedded Network Non-Residential	≥1,000 and ≤22,000	≥1,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- High voltage customers either registered by the ESC or AER as an Embedded Network or have an exemption from holding a distribution licence - Connection points within the Embedded Network will be predominantly non-residential	None
SUBTRANSMISSION VOLTAGE DEMAND CUSTOMERS							
DS.A	Subtransmission Demand A	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customers supplied by a Altona terminal station - Brooklyn terminal station 66kV loop	None
DS.G	Subtransmission Demand G	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customer	None
DS.S	Subtransmission Demand S	>22,000	≥10,000	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Subtransmission voltage customer directly supplied from both Altona terminal station and Brooklyn terminal station	None

Table 2: Closed Tariffs

Tariffs Only Available to Existing Customers Already Assigned this Tariff @ 1 January 2009. (closed to new customers)

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (KW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
RESIDENTIAL CUSTOMERS							
D1	Residential Single Rate	<1,000	<120	7 days, 24 hours	N/A	- Residential multi-phase customers	None
D2	Residential Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Residential customers without a controlled load who requested a 2-rate tariff - Residential customers with a controlled load - Residential customers with embedded generation (ie solar cells)	
DD1	Dedicated Circuit	<1,000	<120	N/A	7 days	- Residential customers on D1 tariff with dedicated circuit connected to a controlled load	Electric hot water service Slab heating / heat banks
D1.CS	ClimateSaver	<1,000	<120	01 Nov – 31 Mar	01 Apr – 31 Oct	- Residential customers on D1 tariff with dedicated circuit connected to a reverse-cycle air-conditioning load Notes: Dedicated circuit must include a primary reverse-cycle air-conditioner (RCAC) load with the following specification: - must be split system and have a minimum output capacity of 4.0kW on the heating cycle - must have a minimum 3 star rating according to the Australian Energy labelling program OR - Ducted system or inverter technology system, regardless of star rating or whether they are a split system - Provided primary RCAC meets requirements, any additional hard-wired RCAC or hard-wired electric heater may be connected to the dedicated circuit	None
NON-RESIDENTIAL CUSTOMERS							
ND1	Non-Residential Single Rate	<1,000	<120	7 days, 24 hours	N/A	- Non-residential multi-phase customers	None
ND1.R	Non-Residential Single Rate (R)	<1,000	<120	7 days, 24 Hours	N/A	- Non-residential road bridge heating	None

TARIFF CODE	TARIFF DESCRIPTION	SUPPLY VOLTAGE (V)	DEMAND (KW)	PEAK PERIODS	OFF-PEAK PERIODS	ELIGIBLE CUSTOMERS	ALLOWED CONTROLLED LOADS
ND2	Non-Residential Two Rate 5d	<1,000	<120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Non-residential customers who requested a 2 rate tariff - Non-residential customers with a controlled load	
ND3	Non-Residential Two Rate 7d	<1,000	<120	Mon-Sun 0700-2300	Mon-Sun 2300-0700	- Non-residential customers	None
DD1	Dedicated Circuit	<1,000	<120	N/A	7 days	- Non-residential customers with dedicated circuit connected to a controlled load	Electric hot water service Slab heating / heat banks
LARGE LOW VOLTAGE CONTRACT DEMAND CUSTOMERS							
DL.S	Large Low Voltage Demand S	<1,000	≥120	Mon-Fri 0700-2300	Mon-Thurs 2300-0700 Fri 2300 - Mon 0700	- Large customers who were on retail tariff "L", or "V" as at 1st April 1998	None

1.3 Parent Tariffs

Table 3 maps parent tariff categories to sub categories and descriptions.

Table 3: Parent Tariffs

PARENT TARIFF DESCRIPTION	PARENT TARIFF CODE	SUB TARIFF DESCRIPTION	TARIFF CODE
Residential single rate	D1	Climate Saver	D1.CS
Residential Interval	D3	Climate Saver Interval	D3.CS
Residential single rate	D1	Dedicated Circuit	DD1
Non-Residential Single Rate	ND1	Dedicated Circuit	DD1
Residential Interval	D3	Hot Water Interval	D3.HW

1.4 2009 Tariff Changes

Powercor's network tariffs increased in accordance with the price controls and rebalancing constraints set out in the Price Determination. There is an increase in distribution tariffs partially offset by a decrease in transmission tariffs; the net impact is an increase in network tariffs.

1.4.1 Advanced Interval Meter Tariffs

The mass rollout of advanced interval metering technology is scheduled to commence in 2010 following the progress of the pilot in late 2009. Powercor will be introducing dedicated interval meter tariffs to address this development. New tariffs will be devised in 2009 for implementation in 2010.

1.4.2 Reactive Demand Tariffs

Powercor Australia's 2006-10 Tariff Strategy Report outlined Powercor's intention to implement Reactive Demand Tariffs as an Excluded Service. The implementation of reactive demand tariffs is currently on hold until these tariff structures may be fully assessed in terms of advanced metering infrastructure.

1.5 Upper and Lower Bounds on Tariffs

Under clauses 2.3.16 and 3.3.6 of the *Determination*, Distributors are required to set distribution tariffs and transmission tariffs with regard to the following principles:

- *Lower Bound*: each tariff should be above the avoidable cost of serving customers assigned to that tariff;
- *Upper Bound*: each tariff should be below the cost of providing the service on a stand alone basis to customers assigned to that tariff; and
- *Impact*: each tariff should signal the impact of additional usage on future investment costs.

Powercor Australia engaged Harding Katz to undertake a detailed study to ensure all distribution tariffs were within the efficient window set by these upper and lower bounds. The Harding Katz report defined the cost of serving customers as the cost attributable to an 'average' customer within the class of customers covered by each tariff. Cost per customer was established net of fixed costs, sunk costs and general overheads and formulated as the sum of average usage costs and an allocation of fixed costs per customer.

The upper bound for tariffs was established by estimating the costs likely to be incurred by a notional efficient competitor to the network business. This approach was taken as economies of scale dictate that the stand-alone cost of providing for a single customer would set the upper bound so high as to provide no meaningful limit. The cost of providing for customers on a stand alone basis was then established as the network and usage costs of providing for an 'average' customer within each tariff.

Powercor Australia's tariffs fall within the efficient window established by these bounds. Powercor Australia will continue to monitor its existing tariffs and all proposed tariffs to ensure they remain efficient.

The requirement that tariffs signal the impact of additional usage on future investment costs are reflected in Powercor Australia's use of block tariffs and time-of-use structure. Incrementally increasing rates for high-demand

users reflect the additional investment required for increased usage. Demand charges for larger customers reflect the network capacity requirements of these customers and enable investment to meet their needs.

1.6 Demonstration of How Prices Account for Future Investment Requirements

In setting of distribution and transmission tariffs distributors are required under clauses 2.3.16 and 3.3.6 of the *Determination* to have regard to the principle that each tariff should signal the impact of additional usage on future investment costs.

Powercor Australia notes that the present state of metering technology imposes practical limitations on the precision of pricing signals that can be provided to customers. Data from the rollout of advanced interval meters will provide Powercor Australia with a more accurate profile of customer demand. To date this profiling has been limited due to an insufficient number of installed interval meters and insufficient data on usage patterns over time. Data made available from interval meters is expected to lead to more accurate predictions of future investment requirements. When more data is available for modelling Powercor Australia will reassess tariffs accordingly.

1.7 Excluded Service Charges and Prescribed Metering Service Charges

Powercor Australia's current schedule of Excluded Service charges can be found at:
http://www.powercor.com.au/Electricity_Networks/Powercor_Network/Powercor_-_Network_Tariffs/Powercor_Network_-_Excluded_Service_Charges/

Excluded Service charges are updated from time to time to reflect increasing business costs. Price changes are submitted to the Commission for review and approval prior to taking effect.

1.7.1 Prescribed Metering Service Tariffs

Prescribed metering service tariffs are charged for the provision of meters and meter data services where the customer does not have a remotely read interval meter and either of the following conditions is met:

- The customer is a first tier customer and consumes less than 160MWh per annum; or
- The customer is a second tier customer who (subject to the National Electricity Rules) has a manually read interval meter, basic supply metering installation or unmetered supply installation

A review of the Prescribed Metering Service tariffs will be reviewed upon rollout of AMI. Any changes to the existing metering tariff structure will be approved by the ESC through the standard tariff submission process.

1.7.1.1 Meter Provision

The capital and operating costs of providing metering services is funded through meter provision charges. There are four types of charges to reflect differing costs to serve different meter classes:

- Single Phase Non-off peak
- Single Phase Off peak
- Poly Phase Direct Connect
- Three Phase CT

Powercor Australia will levy these charges per customers per NMI. The 2009 charges consist of a flat charge per NMI per annum. Customers receive the same charge irrespective of whether they are using an interval or accumulation meter.

1.7.1.2 Meter Data Services

The capital and operating costs of providing meter data services are funded through meter provision charges. There are three types of charges to reflect varying costs:

- Quarterly read meter
- Monthly read meter
- Unmetered supplies

Powercor Australia will levy read charges to customers on a per NMI basis and unmetered supplies charges on a per light basis. The 2009 charges are a flat charge per NMI (or light) per annum. Customers pay the same charge irrespective of whether they are using an interval or accumulation meter.

1.8 Reassignments

Powercor Australia does not intend to reassign customers between tariffs in 2009.

A review of tariff reassignment will be completed upon rollout of AMI and will be subject to the ESC consultation. All consultations can be viewed on the ESC website:

<http://www.esc.vic.gov.au/public/Energy/Consultations/>

1.9 Demand Resets

Powercor Australia processed demand resets for 181 customers between January 1 and December 31 2007.

2. USAGE/QUANTITY INFORMATION

2.1 Quantities and Usage

Powercor Australia's customer numbers and consumption associated with each tariff for 2007 are shown in Table 5 of the Appendix.

Powercor Australia's forecast customer numbers and consumption associated with each tariff for 2009 are shown in Table 6 of the Appendix.

2.2 Network Constraints

Powercor Australia produces a Distribution System Planning Report each year that details network capacity issues and future network investment requirements at a zone substation and subtransmission level. Network capacity constraints are a significant business driver for Powercor Australia and a key driver of distribution costs. For more detailed information on network constraints please refer to Powercor Australia's Network Planning Report. The most recent report can be found at:

<http://www.powercor.com.au/docs/pdf/Electricity%20Networks/Powercor%20Network/Powercor%202007%20Distribution%20System%20Planning%20Report.pdf>

3. ANNUAL ADJUSTMENT VARIABLES

3.1 Adjustment Variables

Table 4: Annual Adjustment Variables

Variable	%
CPI	4.981%
X Factor	(2.500%)
L Factor	(0.045%)
M Factor*	0%
S-Factor^	0.122%

* M Factor remains at 0% per principles established by the Victorian Government's Order in Council

^ Includes S_{t-6}

3.2 Impact on Tariffs

Table 7 shows individual distribution and transmission tariff rebalancing constraints, calculated in accordance with the Commission's tariff approval process. These constraints define the allowable annual movement of individual tariffs.

4. RATIONALE FOR AMENDMENT

4.1 Comparison with Tariff Strategy Report

The key tariff development for 2009 will be the formulation of advanced interval meter tariffs for introduction in 2010. As the progress of advanced metering infrastructure was not fully foreseen in 2005, this development was not documented in the Tariff Strategy Report. Additionally, the Tariff Strategy Report predicts the introduction of reactive demand excluded service charge; however this has been deferred pending the implementation of advanced interval metering.

5. CONSULTATION

Powercor Australia has undertaken the following process in the development of the 2009 Annual Tariff Report:

- Regular updates and consultation regarding tariff issues with the Powercor and CitiPower Customer Consultative Committee (PACCCC), including extensive consultation regarding new tariffs
- Tariff Strategy Report made available to all stakeholders via the Powercor Australia website
- Maintenance of the Powercor Australia stakeholder register
- Informal consultation with larger retailers on tariff development and structure

Any customers, retailers or other interested parties who would like to be included on the stakeholder register are requested to email their details to CustomerRelationsGroup@powercor.com.au

Powercor Australia intends to consult with the PACCCC and other key stakeholders on the Annual Tariff Report each year as part of its tariff development process. Further information regarding the future development of the Annual Tariff Reports will be provided to all parties on the stakeholder register.

Table5: 2007 Actual Quantities by Tariff

Network Tariffs			Demand charge	Peak charge				Off Peak charge
Description	Code	Customer No	kW	Block1 kWh	Block 2 kWh	Block 3 kWh	Block 4 kWh	Block 1 kWh
Residential Single Rate	D1	504,821	-	1,554,131,016	738,790,292	21,298,367	4,757,695	-
ClimateSaver	D1.CS	19,327	-	11,722,419	2,698,317	42,112	-	26,717,945
ClimateSaver Interval	D3.CS	2,395	-	795,687	193,985	1,806	-	3,268,646
Residential Two Rate 5d	D2	51,729	-	130,851,550	31,487,698	921,602	194,476	277,368,744
Docklands Two Rate 5d	D2.DK	584	-	1,841,473	400,557	96,684	22,067	2,368,504
Residential Interval	D3	7,455	-	14,901,935	5,523,376	682,030	639,648	21,527,838
Dedicated circuit	DD1	183,981	-	-	-	-	-	543,125,856
Hot Water Interval	D3.HW	2,796	-	-	-	-	-	4,192,634
Non-Residential Single Rate	ND1	47,322	-	91,486,135	117,734,897	63,589,387	22,451,574	-
Non-Residential Single Rate (R)	ND1.R	-	-	-	-	-	-	-
Non-Residential Two Rate 5d	ND2	35,700	-	101,892,282	233,169,159	246,007,541	160,938,611	606,787,153
Business Sunraysia	ND2.BS	-	-	-	-	-	-	-
Non-Residential Interval	ND5	2,984	-	7,609,208	15,294,791	15,703,578	8,319,426	30,767,244
Non-Residential Two Rate 7d	ND3	10,035	-	25,238,392	48,543,402	42,031,873	46,717,665	71,447,043
Unmetered supplies	PL2	6,175	-	26,141,611	-	-	-	65,989,694
Large Low Voltage Demand	DL	667	313,709	519,794,484	-	-	-	391,667,519
Large Low Voltage Demand A	DL.A	4	1,610	3,870,127	-	-	-	3,632,490
Large Low Voltage Demand C	DL.C	456	214,836	394,345,879	-	-	-	280,107,683
Large Low Voltage Demand S	DL.S	67	12,203	20,502,505	-	-	-	13,309,158
Large Low Voltage Demand Docklands	DL.DK	8	2,715	3,745,223	-	-	-	3,910,676
Large Low Voltage Demand CXX	DL.CXX	532	94,412	147,768,921	-	-	-	105,478,525
Large Low Voltage Demand EN.R	DL.R	-	-	-	-	-	-	-
Large Low Voltage Demand EN.NR	DL.NR	5	652	7,448,479	-	-	-	4,819,875
Large Low Voltage Demand EN.R CXX	DL.CXXR	-	-	-	-	-	-	-
Large Low Voltage Demand EN.NR CXX	DL.CXXNR	-	-	-	-	-	-	-
High Voltage Demand	DH	100	235,862	482,520,176	-	-	-	437,331,919
High Voltage Demand A	DH.A	3	4,278	7,058,283	-	-	-	7,160,042
High Voltage Demand C	DH.C	47	125,297	297,485,652	-	-	-	275,740,377
High Voltage Demand D1	DH.D1	1	22,125	82,226,621	-	-	-	91,579,402
High Voltage Demand D2	DH.D2	1	12,378	38,861,440	-	-	-	43,096,066
High Voltage Demand Docklands	DH.DK	1	1,000	1,119,660	-	-	-	509,449
High Voltage Demand D3	DH.D3	1	14,491	16,193,786	-	-	-	19,342,057
High Voltage Demand D4	DH.D4	1	11,000	23,848,363	-	-	-	27,076,056
High Voltage Demand D5	DH.D5	-	-	-	-	-	-	-
High Voltage Demand EN.R	DH.R	-	-	-	-	-	-	-
High Voltage Demand EN.NR	DH.NR	-	-	-	-	-	-	-
Subtransmission Demand A	DS.A	3	43,707	117,269,696	-	-	-	104,071,547
Subtransmission Demand G	DS.G	3	69,570	207,883,506	-	-	-	218,296,007
Subtransmission Demand S	DS.S	2	93,047	199,802,688	-	-	-	251,901,281
Total		668,706	1,272,891	4,538,357,196	1,193,836,474	390,374,980	244,041,163	3,932,591,430

Table 6: 2009 Forecast Quantities by Tariff

Network Tariffs		Customer No	Demand charge		Peak charge				Off Peak charge
Description	Code		kW		Block1 kWh	Block 2 kWh	Block 3 kWh	Block 4 kWh	Block 1 kWh
Residential Single Rate	D1	518,271	-	-	1,641,053,462	828,759,312	24,937,023	5,231,003	-
ClimateSaver	D1.CS	19,452	-	-	14,887,132	3,834,807	87,203	108	23,626,932
ClimateSaver Interval	D3.CS	5,702	-	-	4,458,226	1,162,353	26,567	61	8,145,041
Residential Two Rate 5d	D2	51,815	-	-	131,334,179	33,742,630	1,051,799	311,084	272,847,242
Docklands Two Rate 5d	D2.DK	594	-	-	2,011,345	479,505	101,860	60,498	2,372,058
Residential Interval	D3	15,107	-	-	34,045,673	12,387,307	1,039,193	976,656	44,509,340
Dedicated circuit	DD1	177,649	-	-	-	-	-	-	531,526,033
Hot Water Interval	D3.HW	6,140	-	-	-	-	-	-	13,432,447
Non-Residential Single Rate	ND1	46,078	-	-	90,182,801	118,334,067	64,182,387	22,632,117	-
Non-Residential Single Rate (R)	ND1.R	-	-	-	1	-	-	-	-
Non-Residential Two Rate 5d	ND2	35,503	-	-	102,170,208	234,085,214	248,321,416	162,607,167	593,365,764
Business Sunraysia	ND2.BS	-	-	-	1	-	-	-	-
Non-Residential Interval	ND5	5,818	-	-	15,994,471	34,374,613	35,250,051	19,792,134	83,308,314
Non-Residential Two Rate 7d	ND3	9,707	-	-	22,714,110	44,142,972	38,890,266	43,392,346	63,463,077
Unmetered supplies	PL2	6,317	-	-	28,229,237	-	-	-	69,736,154
Large Low Voltage Demand	DL	706	329,409	-	554,747,223	-	-	-	407,683,088
Large Low Voltage Demand A	DL.A	3	1,273	-	3,107,022	-	-	-	3,020,771
Large Low Voltage Demand C	DL.C	466	220,770	-	415,268,912	-	-	-	290,660,947
Large Low Voltage Demand S	DL.S	65	17,661	-	20,394,678	-	-	-	12,680,496
Large Low Voltage Demand Docklands	DL.DK	8	2,095	-	4,306,309	-	-	-	4,418,598
Large Low Voltage Demand CXX	DL.CXX	601	103,068	-	175,585,163	-	-	-	124,517,652
Large Low Voltage Demand EN.R	DL.R	-	0	-	1	-	-	-	0
Large Low Voltage Demand EN.NR	DL.NR	7	2,491	-	9,278,581	-	-	-	5,981,904
Large Low Voltage Demand EN.R CXX	DL.CXXR	-	72	-	1	-	-	-	0
Large Low Voltage Demand EN.NR CXX	DL.CXXNR	-	0	-	1	-	-	-	0
High Voltage Demand	DH	101	246,171	-	508,905,987	-	-	-	459,433,494
High Voltage Demand A	DH.A	3	4,666	-	7,130,384	-	-	-	7,008,806
High Voltage Demand C	DH.C	47	124,589	-	288,448,909	-	-	-	262,885,086
High Voltage Demand D1	DH.D1	1	22,269	-	83,614,950	-	-	-	91,198,096
High Voltage Demand D2	DH.D2	1	12,512	-	42,230,615	-	-	-	46,267,274
High Voltage Demand Docklands	DH.DK	1	1,012	-	1,224,455	-	-	-	499,953
High Voltage Demand D3	DH.D3	1	14,641	-	18,941,373	-	-	-	19,916,705
High Voltage Demand D4	DH.D4	1	11,114	-	26,846,142	-	-	-	29,359,323
High Voltage Demand D5	DH.D5	-	-	-	1	-	-	-	-
High Voltage Demand EN.R	DH.R	-	-	-	1	-	-	-	-
High Voltage Demand EN.NR	DH.NR	-	-	-	1	-	-	-	-
Subtransmission Demand A	DS.A	3	44,092	-	118,985,024	-	-	-	99,739,199
Subtransmission Demand G	DS.G	3	76,896	-	205,743,752	-	-	-	211,701,925
Subtransmission Demand S	DS.S	2	93,416	-	194,172,974	-	-	-	244,254,148
Total		691,231	1,328,216	-	4,766,013,305	1,311,302,781	413,887,764	255,003,174	4,027,559,871

Table 7: DUOS and TUOS Rebalancing Constraints

Network Tariffs		DUOS Rebalancing	TUOS Rebalancing
Description	Code		
Residential Single Rate	D1	100.48%	107.08%
ClimateSaver	D1.CS	102.37%	107.08%
ClimateSaver Interval	D3.CS	102.37%	107.08%
Residential Two Rate 5d	D2	104.92%	107.08%
Docklands Two Rate 5d	D2.DK	102.22%	107.08%
Residential Interval	D3	105.85%	107.08%
Dedicated circuit	DD1	102.37%	107.08%
Hot Water Interval	D3.HW	102.37%	107.08%
Non-Residential Single Rate	ND1	102.37%	107.08%
Non-Residential Single Rate (R)	ND1.R	102.37%	107.08%
Non-Residential Two Rate 5d	ND2	105.47%	107.08%
Business Sunraysia	ND2.BS	102.37%	107.08%
Non-Residential Interval	ND5	106.55%	107.08%
Non-Residential Two Rate 7d	ND3	102.37%	107.08%
Unmetered supplies	PL2	102.37%	107.08%
Large Low Voltage Demand	DL	102.37%	107.08%
Large Low Voltage Demand A	DL.A	102.38%	107.08%
Large Low Voltage Demand C	DL.C	102.37%	107.08%
Large Low Voltage Demand S	DL.S	102.37%	107.08%
Large Low Voltage Demand Docklands	DL.DK	102.37%	107.08%
Large Low Voltage Demand CXX	DL.CXX	102.36%	107.08%
Large Low Voltage Demand EN.R	DL.R	102.35%	107.08%
Large Low Voltage Demand EN.NR	DL.NR	102.35%	107.08%
Large Low Voltage Demand EN.R CXX	DL.CXXR	102.35%	107.08%
Large Low Voltage Demand EN.NR CXX	DL.CXXNR	102.35%	107.08%
High Voltage Demand	DH	102.38%	107.08%
High Voltage Demand A	DH.A	102.36%	107.08%
High Voltage Demand C	DH.C	102.39%	107.08%
High Voltage Demand D1	DH.D1	103.88%	107.08%
High Voltage Demand D2	DH.D2	103.92%	107.08%
High Voltage Demand Docklands	DH.DK	102.36%	107.08%
High Voltage Demand D3	DH.D3	104.99%	107.08%
High Voltage Demand D4	DH.D4	104.94%	107.08%
High Voltage Demand D5	DH.D5	104.94%	107.08%
High Voltage Demand EN.R	DH.R	102.40%	107.08%
High Voltage Demand EN.NR	DH.NR	102.40%	107.08%
Subtransmission Demand A	DS.A	102.34%	107.08%
Subtransmission Demand G	DS.G	102.37%	107.08%
Subtransmission Demand S	DS.S	102.48%	107.08%